

Voluntary Report – Voluntary - Public Distribution

Date: September 10, 2024

Report Number: BU2024-0014

Report Name: Smallest Sunflower Crop in a Decade to Severely Impact Bulgarian Crush and Product Exports

Country: Bulgaria

Post: Sofia

Report Category: Oilseeds and Products

Prepared By: Mila Boshnakova-Petrova

Approved By: Levin Flake

Report Highlights:

FAS/Sofia estimates a reduction in Bulgarian oilseeds crops in marketing year (MY) 2024/25 due to extremely hot and dry weather conditions in July and August. FAS/Sofia estimates the rapeseed crop at 190,000 metric tons (MT), down nine percent from last year and 36 percent from two years ago. This estimate is based on tentative harvest data which shows a decline in average yields. In MY 2023/24, Bulgaria was a net importer of rapeseed with growing trade driven by expanding domestic crush capacity, and this trend is projected to continue in MY 2024/25. The sunflower crop is estimated to fall to 1.7 million MT (MMT) in MY 2024/25, down four percent from last year and 21 percent from MY 2022/23. This fall is in contrast to earlier optimistic expectations in the spring due to higher planted area for sunflower this year. If realized, it will be the smallest sunflower crop in over a decade. These developments are forecast to result in a deficit of oilseeds, and a likely decline in oilseed exports and crush.

Weather Overview

Since the middle of June and through the last week of August, Bulgaria (along with other countries in southeastern Europe), has been negatively affected by hot and dry summer weather conditions. The country experienced extremely warm weather, and the month of July was exceptionally hot, with maximum temperatures above 32° C (90° F) during almost the entire month (July 6-24) – with more than 10 consecutive days of maximum temperatures above 35°C (95° F). On the hottest days, the maximum temperatures reached 38–40 °C (100°F - 104° F) (July 10-18). The number of hot days exceeded the long-term average by 15–20 days, negatively affecting summer crops (sunflower). Between the middle of July and the middle of August the temperatures exceeded the long-term-average by 2–4 °C, which was the hottest period since 1975. The highest temperatures were recorded in mid-July and mid-August, when the daily maximum reached 36–41 °C (96.8° F – 105.8° F).

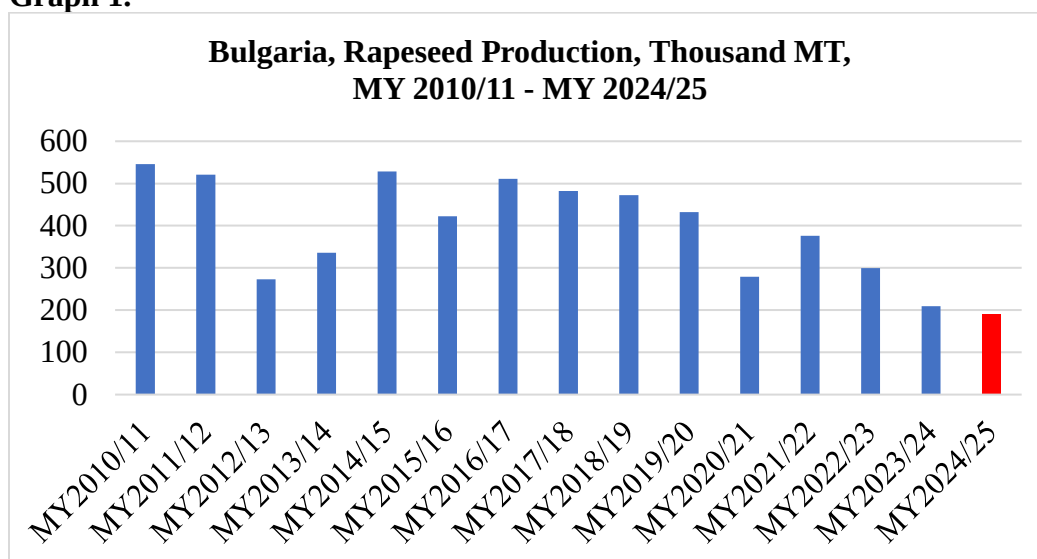
The hot (among the hottest on record) and dry weather, with a persistent deficit of rain, caused a significant depletion in soil moisture in the non-irrigated areas and had a severe impact on the growth and expected yields of summer crops such as sunflower. The crops suffered from the combination of heat stress around the reproductive stages and lack of water to properly sustain crop growth. A rainfall deficit was observed in the entire country but especially in western Bulgaria where cumulative rainfall was between 50 percent and 100 percent below the average, making it among the driest three such periods since 1991. In these regions, no more than three days with daily rainfall exceeding the five millimeter threshold were observed. More significant rainfall occurred only around July 20. With persistent dry conditions and long rainless periods, soil moisture reserves decreased quickly. Pollination, flowering, and early grain filling phases of sunflower were all affected. These conditions lead to a drastic reversal of yield expectations for summer crops to far well below the five-year average. ([JRC MARS Bulletin July 2024 Vol 32 №7](#), [JRC MARS Bulletin August 2024 Vol 32 № 8](#) and Maps 1-10 [Crop Explorer](#) and [Bulgaria data](#)).

MY 2024/25 Outlook

Rapeseed: The Ministry of Agriculture (MinAg) reported an additional decline in harvested area based on updated tentative harvest data from 75,500 hectares (HA) in early June to 70,000 HA as of August ([GAIN](#) report).

This is 12 percent lower than the area harvested in MY 2023/24 (see final data for MY 2023/24 in Table 1). The MinAg data also shows 5.7 percent lower average yields (2.48 MT/HA) and 26.2 percent lower production (172,000 MT) compared to MY 2023/24. Currently, private estimates for rapeseed production are lower compared to June and vary from 170,000 MT to 217,000 MT, with most yield estimates around 2.5 MT/HA (2.5 MT/HA also per [JRC MARS Bulletin August 2024 Vol 32 № 8](#)). FAS/Sofia adjusted the harvested area slightly lower to 74,000 HA and production downward from an earlier estimate to 190,000 MT, with yields down to 2.5 MT/HA, slightly below yields in MY 2023/24 (2.6 MT/HA) (Graph 1).

Graph 1.

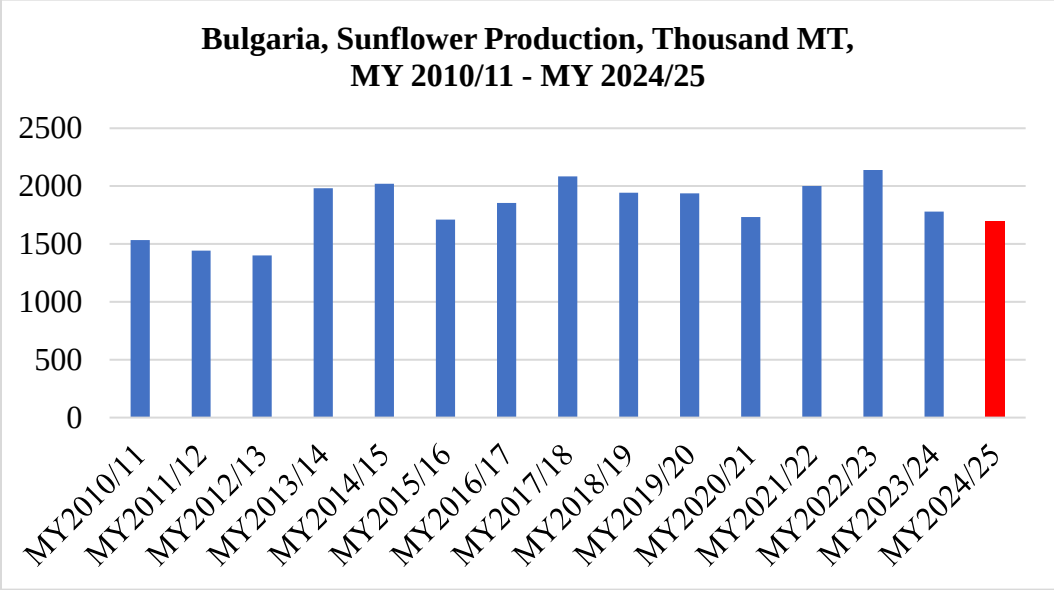


Source: Eurostat, MY 2024/25 is FAS/Sofia current estimate.

Sunflower: The MinAg updated tentative harvest data as of the end of August shows higher area planted to sunflower - 922,000 HA, or 7.1 percent more than in the same period a year ago. The harvest began earlier this year on approximately August 20. The first harvest data as of August 29 shows 16.0 percent lower yields (1.47 MT/HA) compared to MY 2023/24. Private estimates for sunflower area vary from 880,000 HA to 950,000 HA while production expectations are currently sharply down between 1.4 MMT and 1.9 MMT, with yield estimates from 1.5 MT/HA to 2.1 MT/HA (2.1 MT/HA per [JRC MARS Bulletin August 2024 Vol 32 № 8](#)). The heat stress during pollination and critical grain filling stages had a severe impact on sunflower development, leaving the heads with no pollinated seeds, and/or with smaller size seeds and with much lower oil content, reportedly around 40 percent. Most farmers report yields between 1.5 MT/HA to 2.00 MT/HA. In areas hit the hardest by drought and heat, reported yields are in the range of 1.0 MT /HA to 1.5 MT/HA.

FAS/Sofia has increased sunflower area from 900,000 HA to 920,000 HA and currently estimates production at 1.7 MMT, with an average yield of 1.84 MT/HA - below the drought-hit low yield of 2.05 MT/HA in the previous season (see final data for MY 2023/24 in Table 1). This estimate is subject to revision depending on final harvest results. If this forecast materializes, MY 2024/25 sunflower crop will be about five percent below MY 2023/24 crop and the lowest since 2013 (Graph 2).

Graph 2.



Source: Eurostat, MY 2024/25 is FAS/Sofia current estimate.

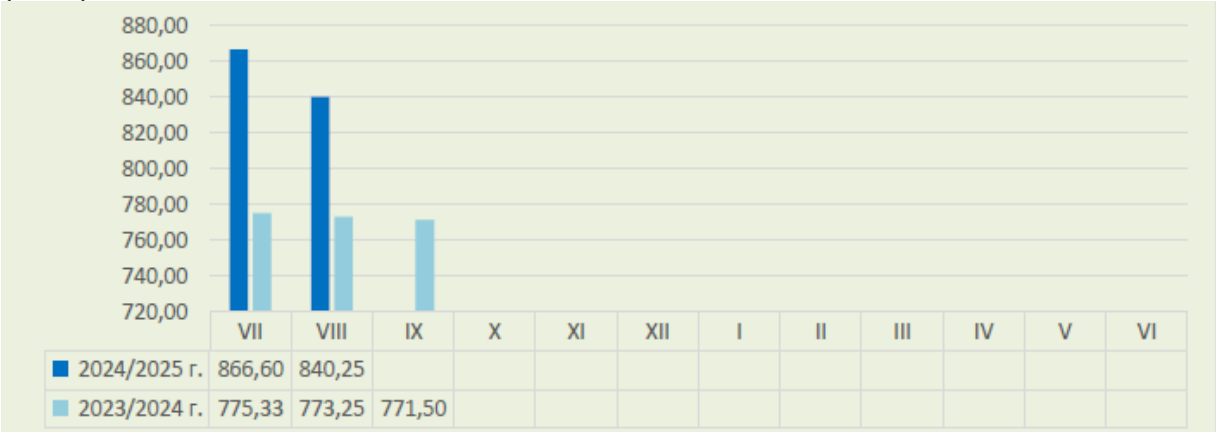
MY 2024/25 Production Estimates, Trade and Use

Final production data is updated based on Eurostat/August and is provided in Table 1.

Rapeseed and Processed Products:

Rapeseed prices are sharply higher so far in MY 2024/25 (Graph 3) compared to the previous season due to the smaller crop, and a regional and EU deficit of rapeseeds. Crushers and traders have made efforts to maintain or build stocks in anticipation of even higher prices for both rapeseeds and rapeseed oil/meal.

Graph 3. Rapeseed Monthly Market Prices, MY 2024/25 vs MY 2023/24 in Bulgarian Leva (BGN)/MT



*The chart shows prices for the MY, which begins in July, with MY 2024/25 in dark blue and MY 2023/24 in light blue.

Source: Bulgarian Ministry of Agriculture Monitoring of Commodity Markets Weekly Bulletins

Reportedly, current rapeseed oil and meal prices are still not providing sufficient margins for the crushers, despite the deficit market for rapeseeds. Per the MinAg data, MY 2024/25 imports of rapeseed as of August 30 are at 18,000 MT while exports are at 61,000 MT, all destined for the EU market.

In recent years, domestic crush has increased due to expansion of crushing facilities for biodiesel - which is estimated to motivate higher imports in the current year. The country already imported a record high 183,000 MT in MY 2023/24 due to small crop last year as well ([GAIN](#) report).

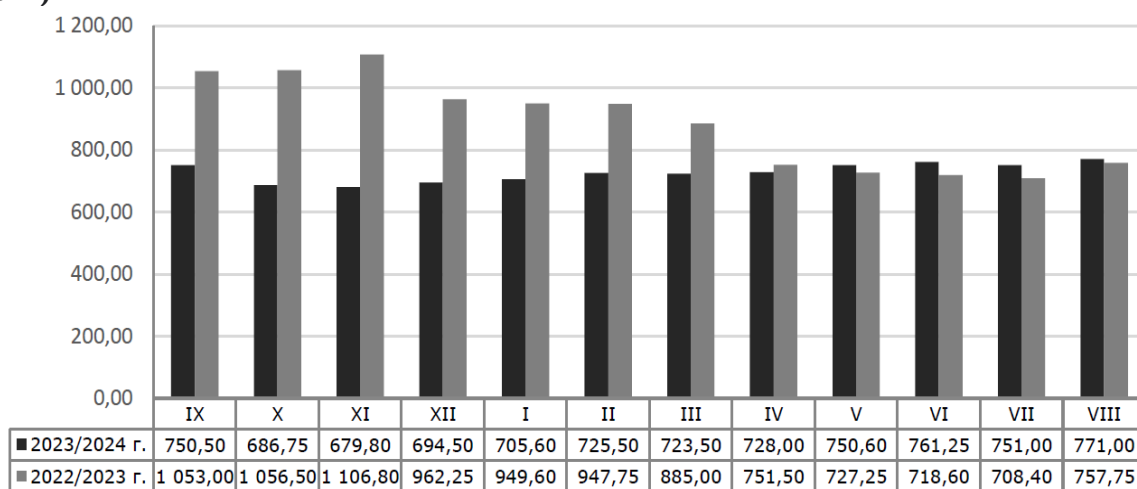
MY 2024/25 crush may be supported by higher beginning stocks, about 44,000 MT, compared to only 12,000 MT in the previous year, however, this still will be insufficient to meet the demand, and the crush is projected to decline substantially from last year's level. As a result, exports of rapeseed oil and meal are also expected to drop.

MY 2023/24: Improved domestic demand for crush was recorded by the Ministry of Agriculture with crush reaching 227,000 MT in MY 2023/24, 210 percent higher than in MY 2022/23 (108,000 MT). Some sunflower crushers switched to rapeseed due to the deficit of sunflower seeds on the market. As a result, trade in processed products accelerated.

Sunflower and Processed Products:

Farm-gate sunflower seed prices started to increase during the last months of MY 2023/24, exceeding the levels seen in the previous year (Graphs 4 and 5). In August, sunflower prices were reported at two percent higher than a year ago. Many expect that this trend of rising prices will continue reflecting the local decline in the crop and the deficit market. However, the price growth might be limited by the weak crush margins and relatively slower increases in sunflower oil and meal prices relative to seeds.

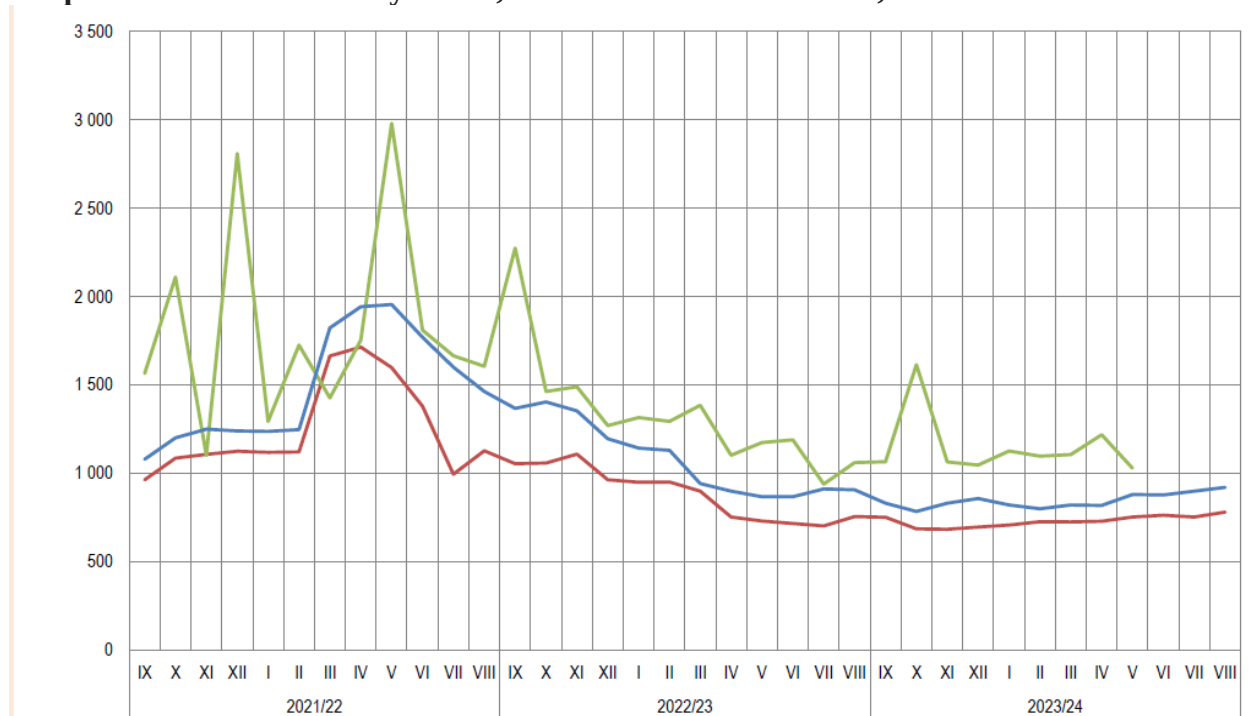
Graph 4. Sunflower Monthly Market Prices, MY 2023/24 vs MY 2022/23 in BGN/MT (August 2024)



*The chart shows prices for the MY, which begins in September, with MY 2023/24 in dark black and MY 2022/23 in grey.

Source: Bulgarian Ministry of Agriculture Monitoring of Commodity Markets Weekly Bulletins

Graph 5. Sunflower Monthly Prices, MY 2021/22 – MY 2023/24, BGN/MT



Red line- Bulgarian ex-farm prices, sunflower seeds, in Bulgarian leva (BGN) per MT

Blue line – EU export price FOB Bordeaux, sunflower seeds, BGN/MT

Green line – Bulgarian CIF export price, sunflower seeds, BGN/MT

Source: Bulgarian MinAg [Dashboard](#) Grains and Oilseeds, September 2024

In MY 2024/25, crushers are expected to be significantly impacted and forced to import more sunflower seeds due to the decline in domestic production, lower beginning stocks and expanded crush capacities. Beginning stocks in MY 2024/25 are estimated at 210,000 MT compared to 271,000 MT in MY 2023/24. Demand for imports is projected to be strong and exacerbated by the smaller oilseeds crops in the region and in the EU. Sourcing imports will be challenging due to drought-impacted smaller crops in the Black Sea region and low exports expected from Ukraine. Finally, the industry reports that margins are still weak. For these reasons, crush is forecast to decline, along with production and exports of sunflower oil and meal. Traders and crushers will likely limit exports of sunflower seeds while anticipating price growth for processed products.

The above developments may contribute to tighter supply and demand balance for sunflower and oilseeds in the EU. Bulgaria is a leading EU sunflower crusher with a capacity exceeding 4.5 MMT. In the last two marketing years, strong crush allowed the country to export substantial quantities of sunflower oil and meal outside the EU. This may change in MY 2024/25 and some of these export markets might be temporarily lost due to lower exportable supplies and potentially less competitive export prices. In addition, this situation may contribute for higher EU import demand for oilseeds, vegetable oils and oil meals.

MY 2023/24: The industry remained a stable importer with imports at 498,000 MT of sunflower seeds, mainly from Romania, Moldova, and Ukraine, but still 28 percent lower than the previous year (686,000 MT imported in MY 2022/23). Sunflower seed exports declined by 30 percent in favor of local

processing, dropping from 360,000 MT exported in MY 2022/23 to 251,000 MT exported in MY 2023/24. The change in the trade pattern allowed the domestic processors to crush the same quantity of sunflower seeds in MY 2023/24 reported at 1.657 MMT as in MY 2022/23 (1.655 MMT). The dehulling industry, however, suffered a 25-percent decline in use from 551,000 MT in MY 2022/23 to 416,000 MT in MY 2023/24.

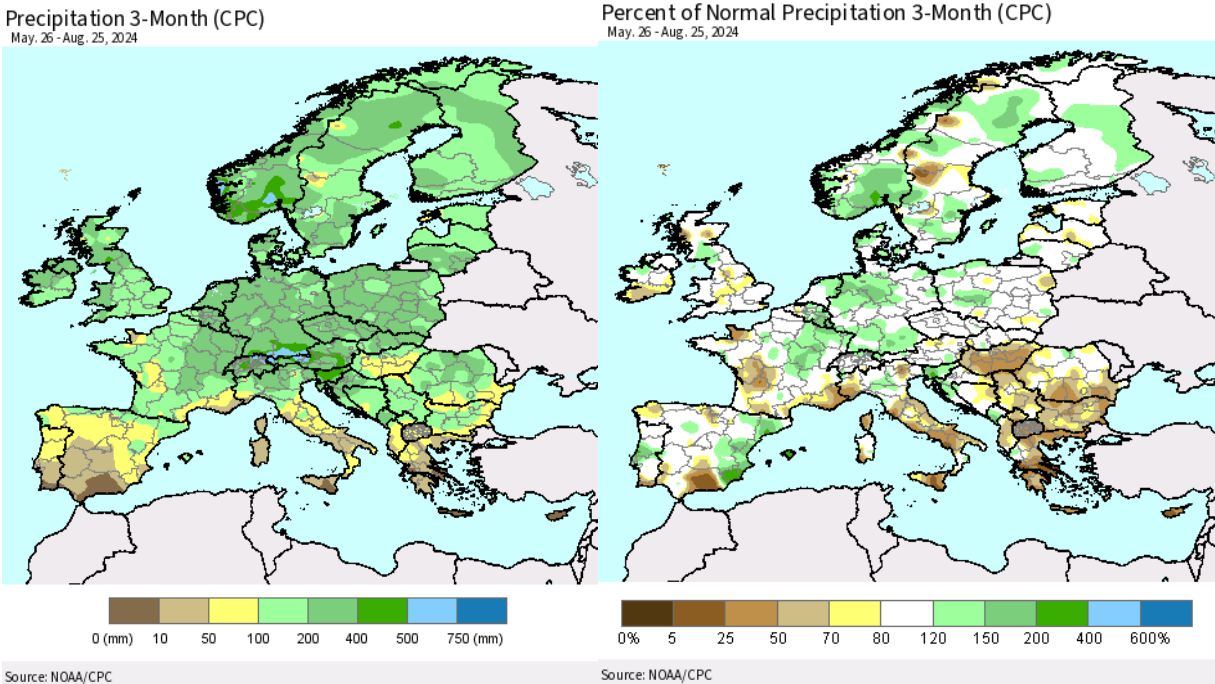
Table 1. Oilseed Crops Final Production Data MY 2023/24 and MY 2022/23, August 2024

Crops	Area Harvested (000 HA)		Production (000 MT)	
	MY 2023/24	MY 2022/23	MY 2023/24	MY 2022/23
Rapeseed	80.00	129.33	209.17	299.42
Sunflower	867.00	916.96	1779.16	2,140.59
Soybeans	3.60	9.50	6.22	10.18
Total	950.60	1055.79	1994.55	2450.19
Source: Eurostat data based on EU standard moisture content- updated as of June 2024				

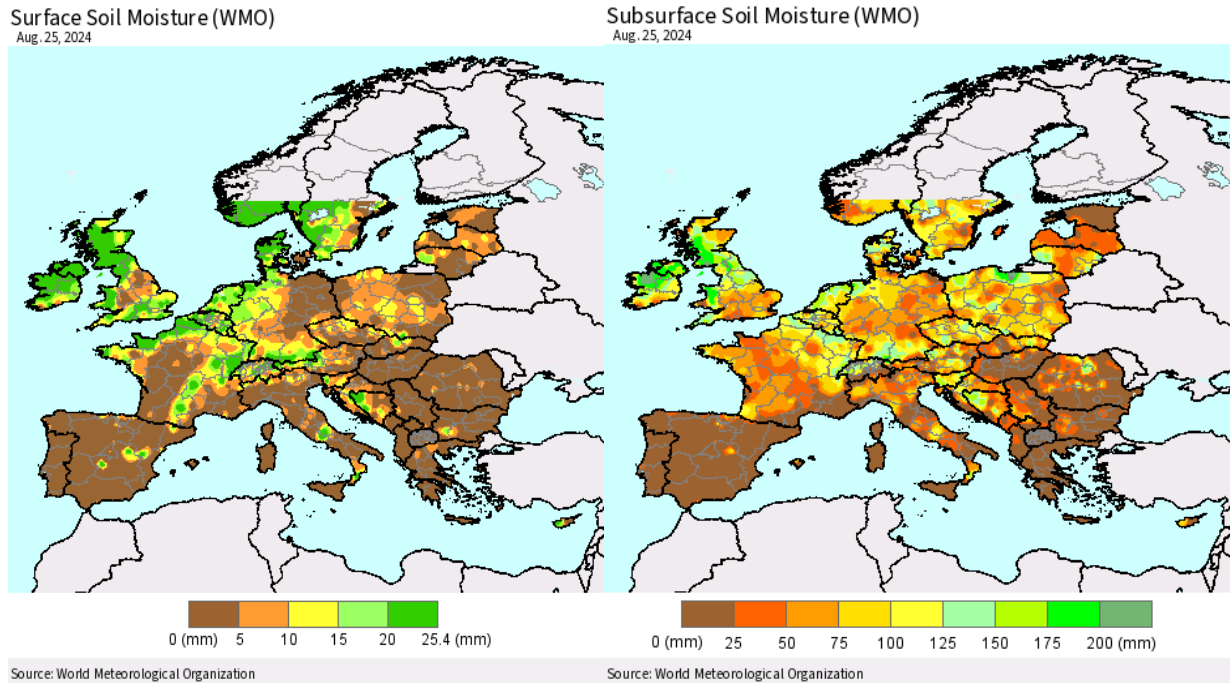
Table 2: Trade in Major Oilseed Crops

Types of Oilseeds	Imports, MT	Exports, MT
Rapeseed, MY 2024/25	18,075 MT	61,341 MT (all is for the EU market)
Sunflower, MY 2024/25	6,390 MT	2,189 MT (all to the EU
Source: MinAg weekly bulletins; Note: The Bulgarian MinAg uses September 1-August 31 as a MY for sunflower. However, due to earlier start of the harvest this year, the MinAg began recording of the new crop marketing year (MY 2024/25) from August 23. The data above indicates trade with the new crop for the first week of the new MY 2024/25 which in this case is the last week of August (August 23-30).		

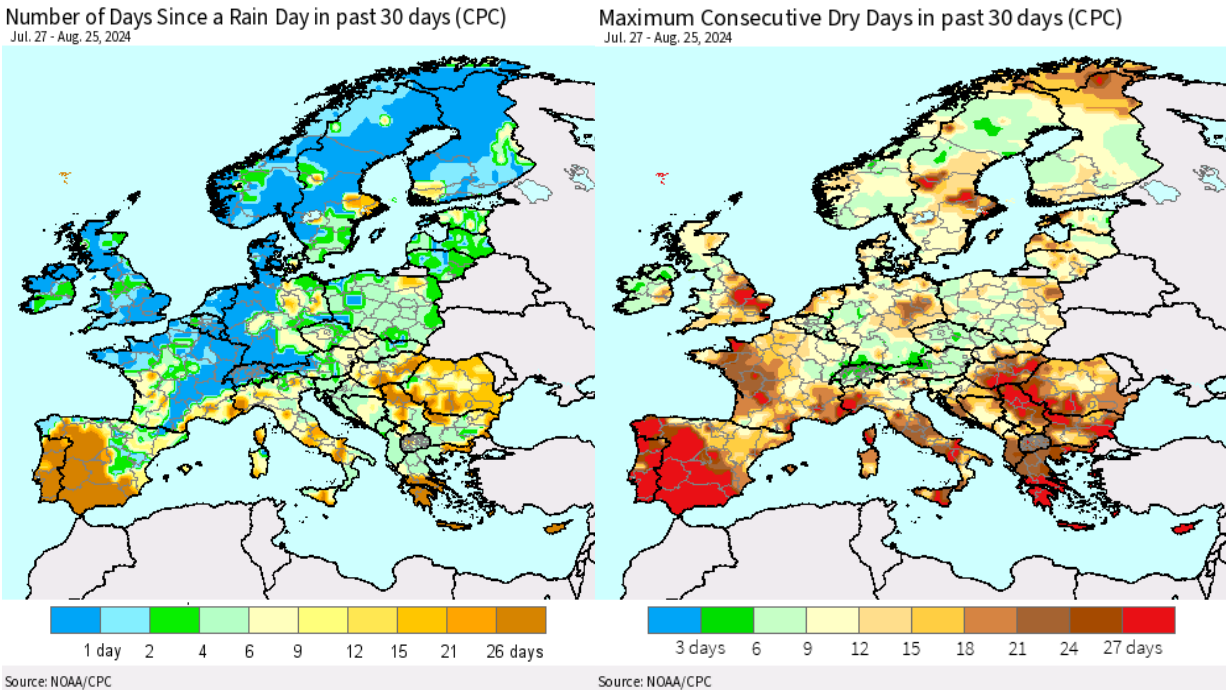
Map 1: USDA [Crop Explorer](#), Europe (including Bulgaria), Precipitation and Percent of Normal Precipitation, May 26 -August 25, 2024.



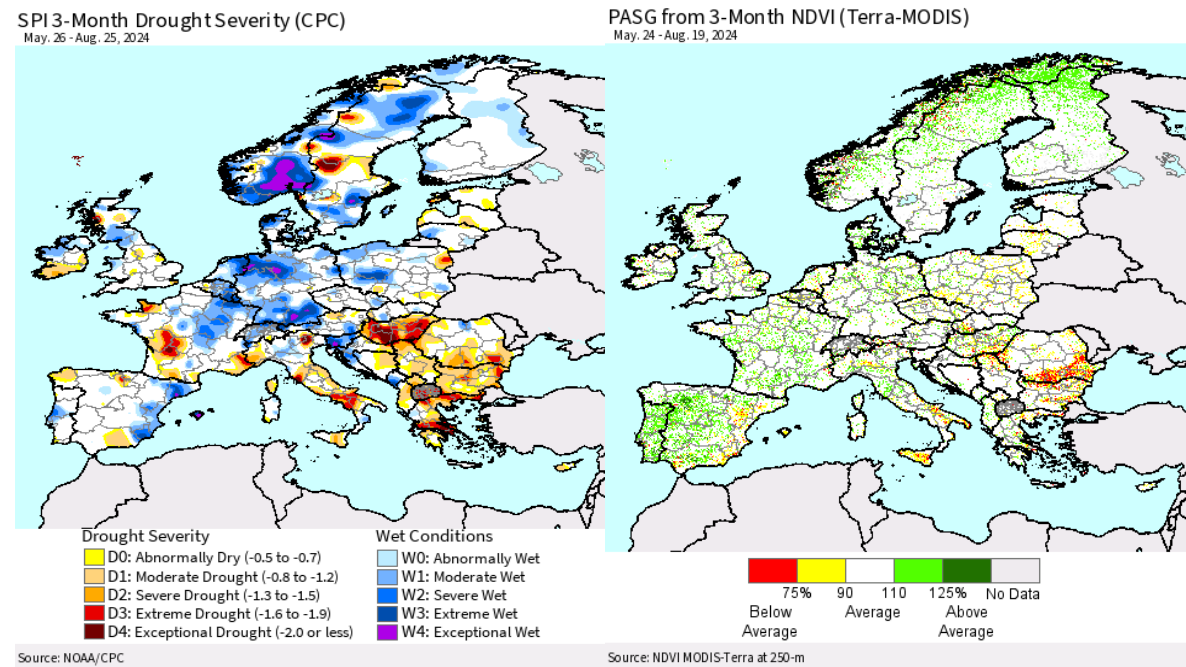
Map 2: USDA Crop Explorer, Europe (including Bulgaria), Surface and Subsurface Soil Moisture as of August 25, 2024



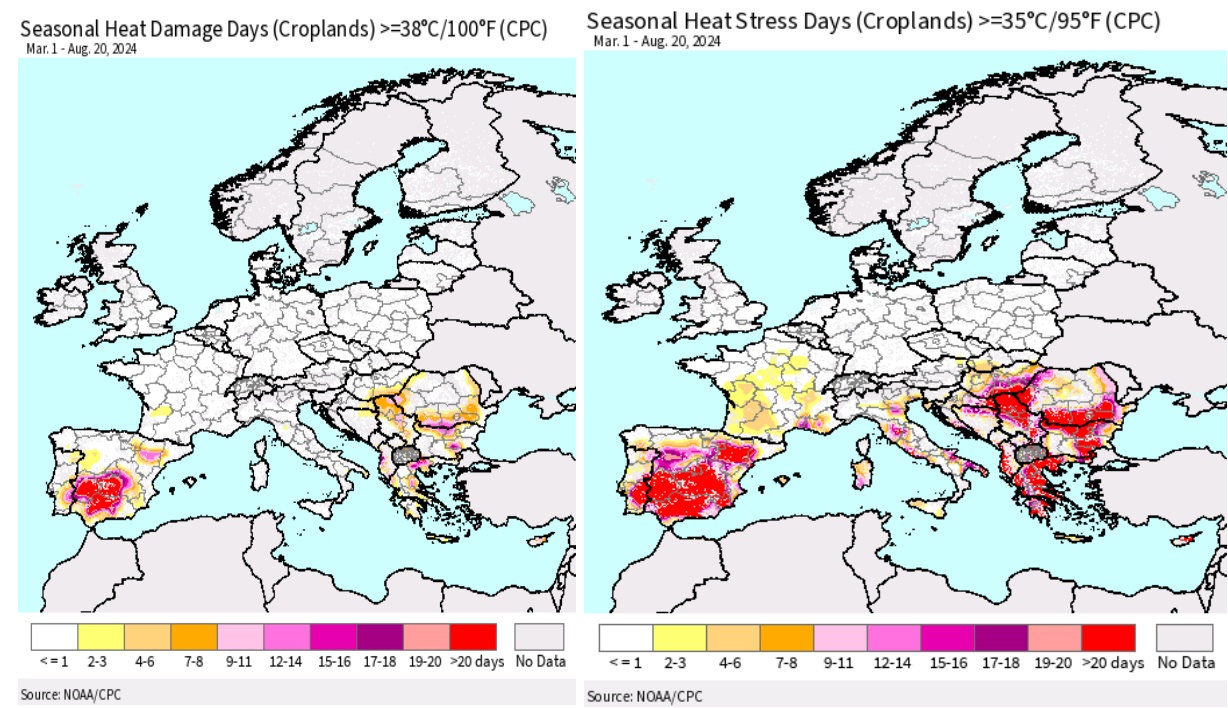
Map 3: USDA Crop Explorer, Europe (including Bulgaria), Number of Days Since a Rain Day and Maximum Consecutive Dry Days in past 30 days, July 27- August 25, 2024



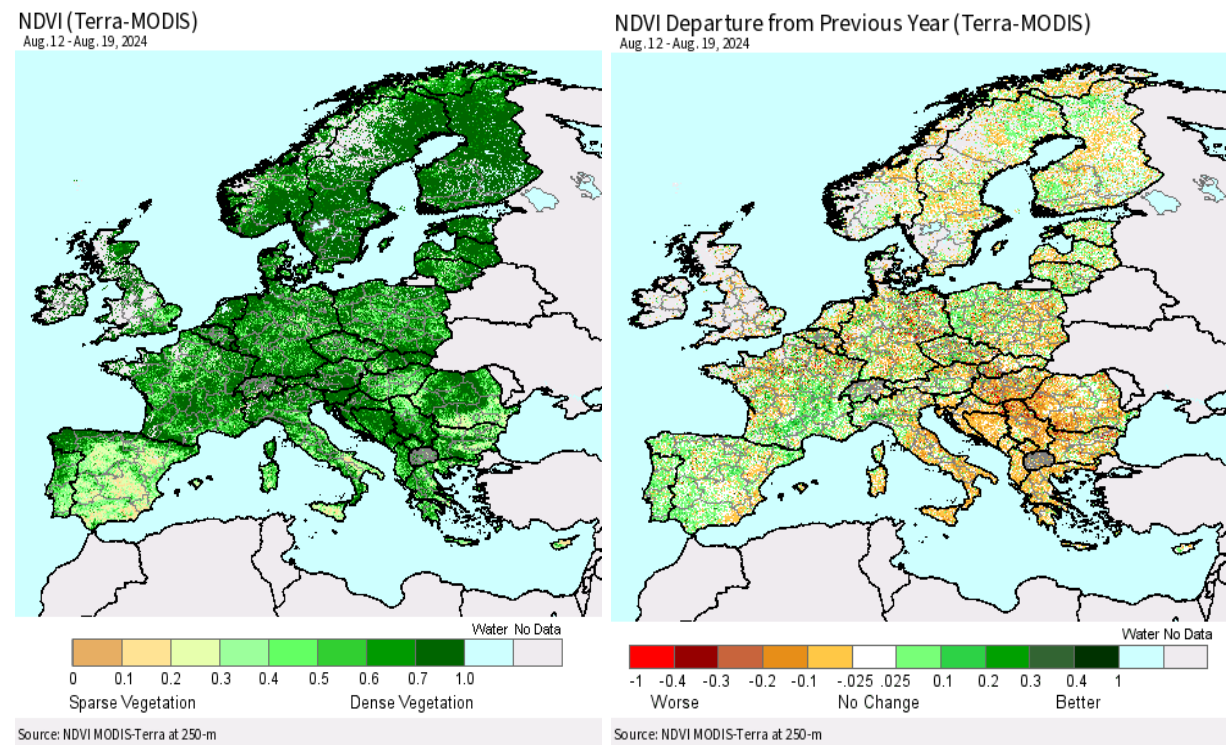
Map 4: USDA Crop Explorer, Europe (including Bulgaria), 3-Month Drought Severity, May 26- August 25, 2024 and PASG from 3-Month NDVI, May 24 – August 19, 2024



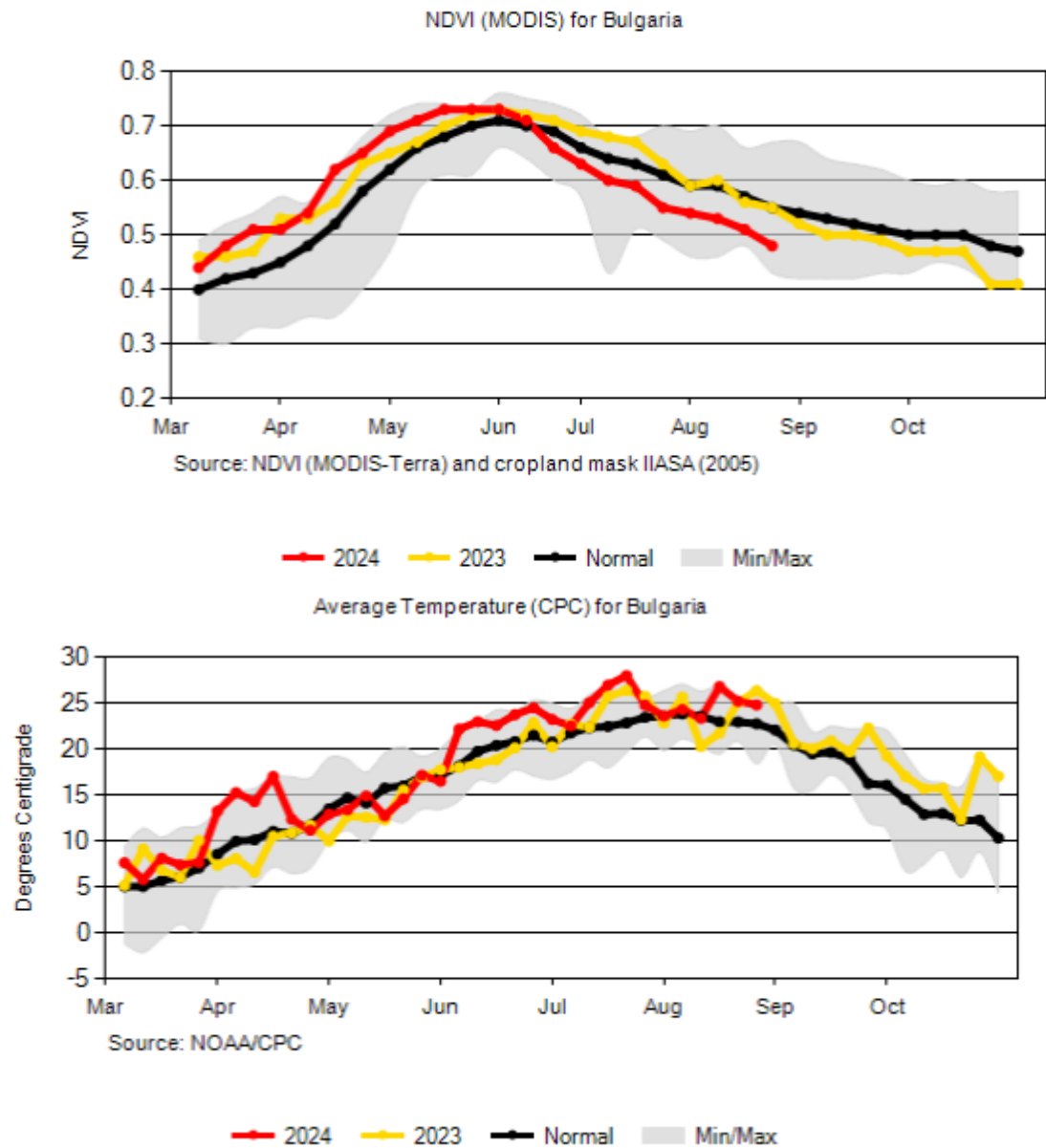
Map 5: USDA Crop Explorer, Europe (including Bulgaria), 3-Month Seasonal Heat Damage Stress, March 1- August 20, 2024, Croplands above 38°C and above 35°C

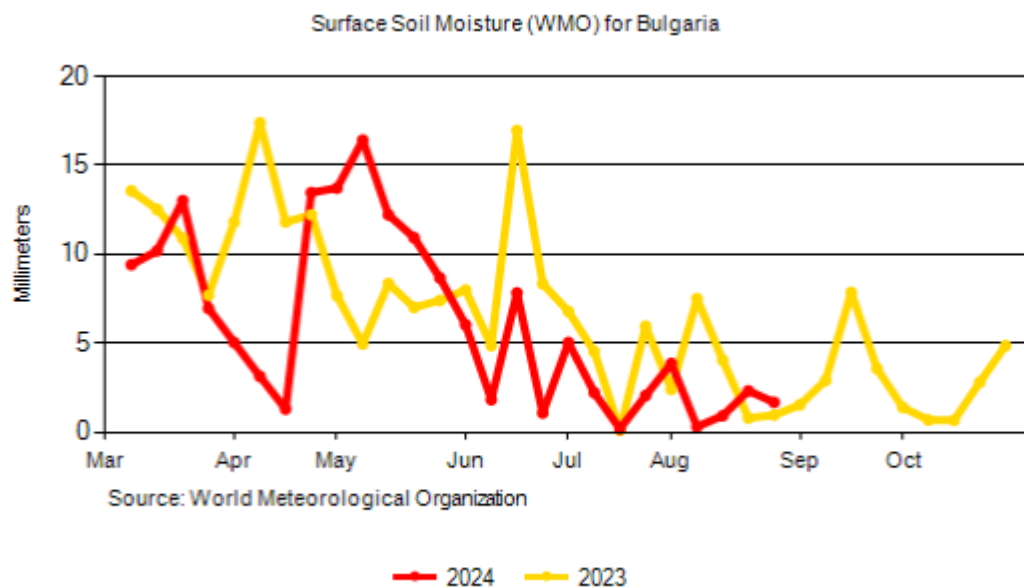
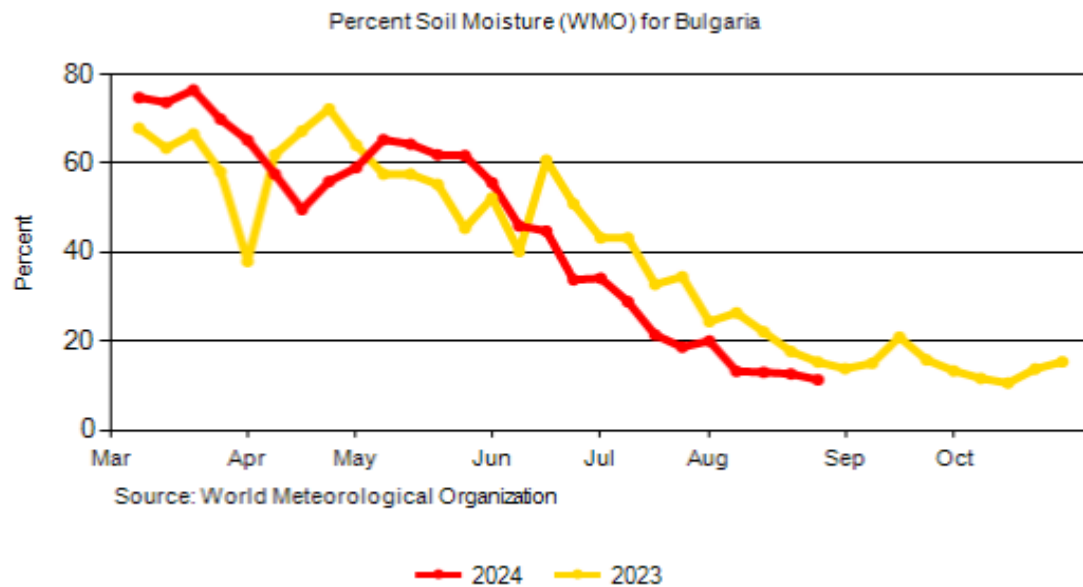


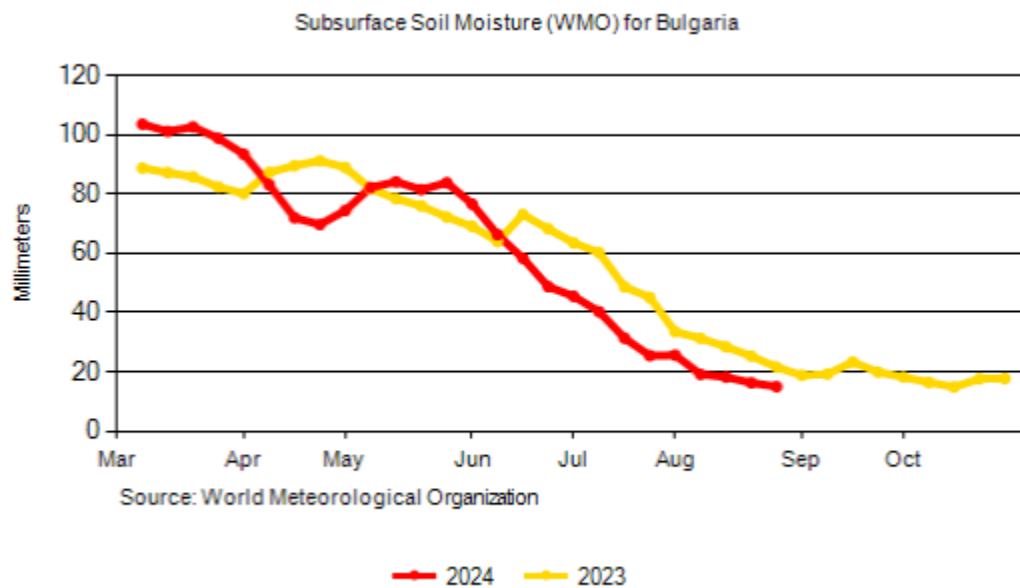
Map 6. USDA Crop Explorer, Europe (including Bulgaria), NDVI (Vegetation Index) for August 12-19, 2024 and NDVI Departure from the Previous Year for August 12-19, 2024



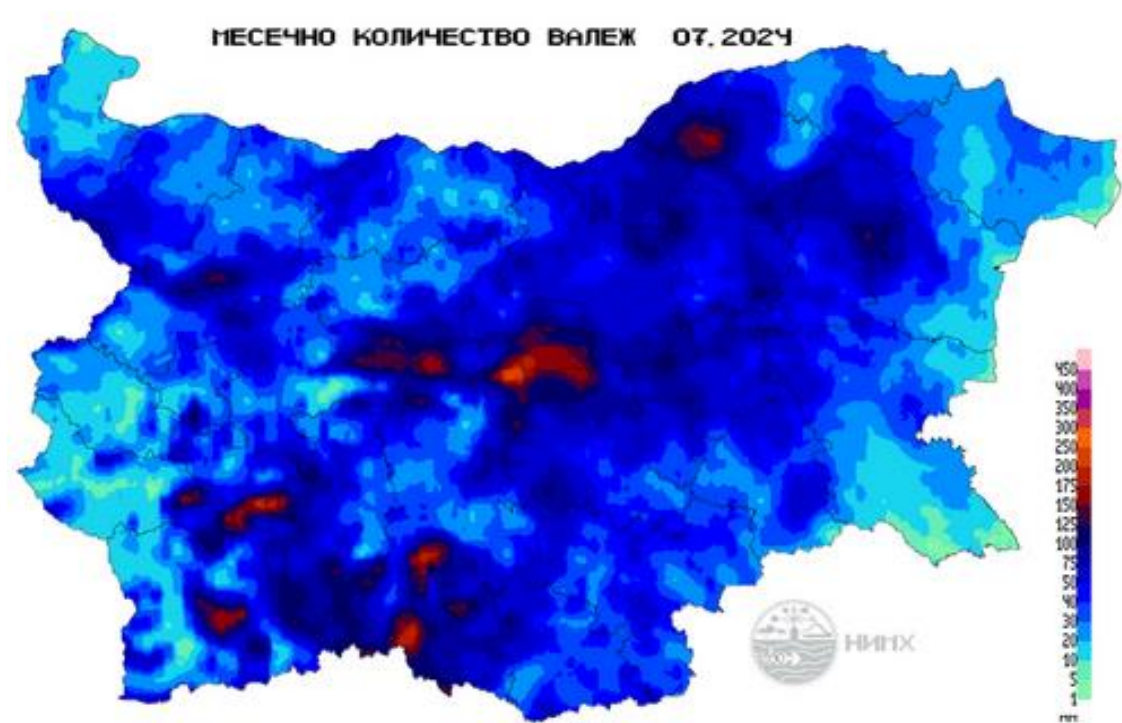
Graph 6. USDA [Crop Explorer](#), Bulgaria, Vegetation Index (NDVI), Average Temperature, Percent of Soil Moisture, Surface and Subsurface Soil Moisture, as of June 10, 2024





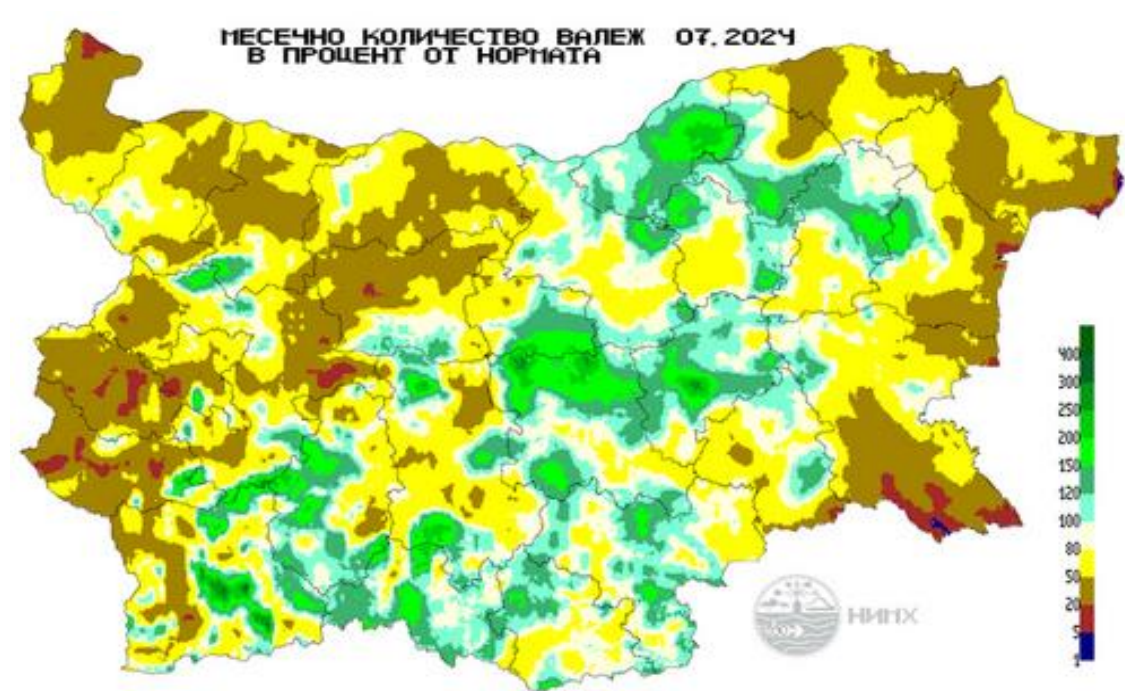


Map 7. July Rainfall 2024



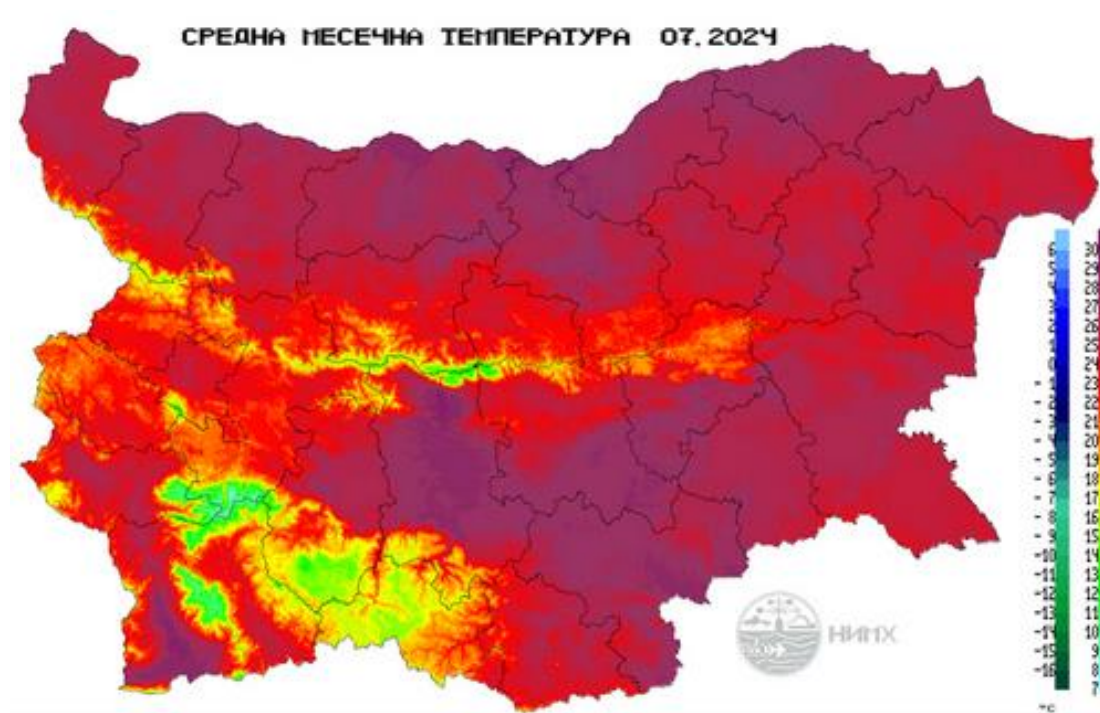
Source: [Bulgarian National Institute of Meteorology and Hydrology](#)

Map 8. July Rainfall 2024 as a percent of Monthly Norm



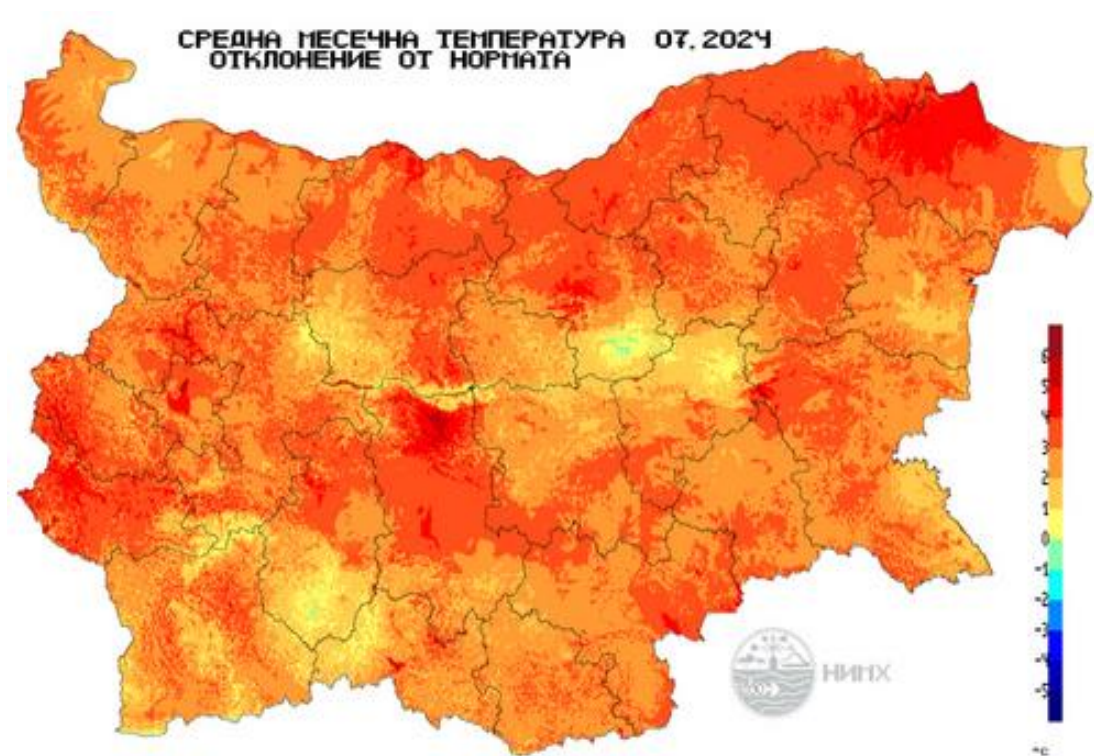
Source: [Bulgarian National Institute of Meteorology and Hydrology](#)

Map 9. Average Temperature July 2024



Source: [Bulgarian National Institute of Meteorology and Hydrology](#)

Map 10: July 2024: Deviation from the Average Temperature Norm



Source: [Bulgarian National Institute of Meteorology and Hydrology](https://www.bnmh.bg/)

Attachments:

No Attachments.